CHAPTER H-04
HEALTH INSURANCE UNDERWRITING

Chapter Introduction

This chapter aims to provide you detailed knowledge about underwriting in health insurance. Underwriting is a very important aspect of any type of insurance and plays a vital role in issuance of an insurance policy. In this chapter, you will get an understanding about basic principles, tools, methods and process of underwriting. It will also provide you the knowledge about group health insurance underwriting.

Learning Outcomes

A. What is underwriting?

B. Underwriting – Basic concepts

C. Other health insurance regulations of IRDAI

D. Portability of Health Insurance

E. Basic principles and tools for underwriting

F. Underwriting process

G. Health Insurance at Group Level

H. Underwriting of Overseas Travel Insurance

I. Underwriting of Personal Accident Insurance

After studying this chapter, you should be able to:

a) Explain what is meant by underwriting
b) Describe the basic concepts of underwriting
c) Explain the principles and the various tools followed by underwriters
d) Appreciate the complete process of underwriting individual health policies
e) Discuss how group health policies are underwritten

Look at this Scenario

Manish aged 48 years, working as a software engineer, decided to take a health insurance policy for himself. He went to an insurance company, where they gave him a proposal form in which he was required to answer a number of questions related to his physical build and health, mental health, pre-existing illnesses, his family health history, habits and so on.

On receipt of his proposal form, he was also required to submit many documents such as identity and age proof, proof of address and previous medical records. Then they told him to undergo a health check-up and some medical tests which frustrated him.

Manish, who considered himself a healthy person and with a good income level, started wondering why such a lengthy process was being followed by the insurance company in his case. Even after going through all this, the insurance company told him that high cholesterol and high BP had been diagnosed in his medical tests, which increased the chances of heart diseases later. Though they offered him a policy, the premium was much higher than what his friend had paid and so he refused to take the policy.

Here, the insurance company was following all these steps as part of their underwriting process. While providing risk coverage, an insurer needs to evaluate risks properly and also to make reasonable profit. If the risk is not assessed properly and there is a claim, it will result in a loss. Moreover, insurers collect premiums on behalf of all insuring persons and have to handle these moneys like a trust.

A. What is underwriting?

1. Underwriting

Insurance companies try to insure people who are expected to pay adequate premium in proportion to the risk they bring to the insurance pool. This process of collecting and analysing information from a proposer is known as underwriting. On the basis of information collected through this process, they decide whether they want to insure a proposer. If they decide to do so, then at what premium, terms and conditions so as to make a reasonable profit from taking such risk.

Definition

Underwriting is the process of assessing the risk appropriately and deciding the terms on which the insurance cover is to be granted. Thus, it is a process of risk assessment and risk pricing.

2. Need for Underwriting

Underwriting is the backbone of an insurance company as acceptance of the risk carelessly or for insufficient premiums will lead to insurer's insolvency. On the other hand, being too selective or careful will prevent the insurance company from

creating a big pool so as to spread the risk uniformly. It is therefore critical to strike the correct balance between risk and business, thereby being competitive and yet profitable for the organization.

This process of balancing is done by the underwriter, in accordance with the philosophy, policies and risk hunger of the insurance company concerned. Although age affects the chance of sickness as well as death, it must be remembered that sickness usually comes much before death and could be frequent. Hence, it is quite logical that the underwriting norms and guidelines are much tighter for health coverage than death coverage.

3. Underwriting – Risk Assessment

In health insurance, there is a higher focus on medical or health findings than financial or income based underwriting. However, the latter cannot be ignored as there has to be an insurable interest and financial underwriting is important to rule out any adverse selection and ensure continuity in health insurance.

Example

An individual who is diabetic has a far higher chance of developing a cardiac or kidney complication requiring hospitalization than of death, and also health episodes can happen multiple times during the course of insurance coverage. A life insurance underwriting guideline might rate this individual as an average risk. However, for medical underwriting, he would be rated as a higher risk.

4. Factors which affect chance of illness

The factors which affect morbidity (risk of falling ill) should be considered carefully while assessing risk are as follows:

a) **Age:** Premiums are charged corresponding with age and the degree of risk. For e.g. the premiums for infants and children are higher than young adults due to increased risk of infections and accidents. Similarly, for adults beyond the age of 45 years, the premiums are higher, as the probability of an individual suffering from a chronic ailment like diabetes, a sudden heart ailment or other such morbidity is much higher.
b) **Gender:** Women are exposed to additional risk of illness during child bearing period. However, men are more likely to get affected by heart attacks than women or suffer job related accidents than women as they may be more involved in hazardous employment.
c) **Habits:** Consumption of tobacco, alcohol or narcotics in any form has a direct bearing on the morbidity risk.
d) **Occupation:** Extra risk to accidents is possible in certain occupations, e.g. driver, blaster, aviator etc. Likewise, certain occupations may have higher health risks, like an X-Ray machine operator, asbestos industry workers, miners etc.

e) **Family history:** This has greater relevance, as genetic factors influence diseases like asthma, diabetes and certain cancers. This does impact the morbidity and should be taken into consideration while accepting risk.
f) **Build:** Stout, thin or average build may also be linked to morbidity in certain groups.
g) **Past illness or surgery:** It has to be ascertained whether the past illness has any possibility of causing increased physical weakness or even recur and accordingly the policy terms should be decided. For e.g. kidney stones are known to recur and similarly, cataract in one eye increases possibility of cataract in the other eye.
h) **Current health status and other factors or complaints:** This is important to ascertain the degree of risk and insurability and can be established by proper disclosure and medical examination.
i) **Environment and residence:** These also have a bearing on morbidity rates.

Understanding Moral Hazard in Health Insurance

While factors like age, gender, habits etc. refer to the physical hazard of a health risk, there is something else that needs to be closely watched. This is the moral hazard of the client which can prove very costly to the insurance company.

An extreme example of bad moral hazard is that of an insured taking health insurance knowing that he will undergo a surgical operation within a short time but not disclosing this to the insurer. There is thus a deliberate intention of taking insurance just to collect a claim.

Test Yourself 1

Underwriting is the process of _____.
I. Marketing insurance products
II. Collecting premiums from customers
III. Risk assessment and risk pricing
IV. Selling various insurance products

B. Underwriting – Basic concepts

1. Purposes of Underwriting
There are two main purposes for Underwriting.
i. To prevent anti-selection, that is selection against the insurer
ii. To classify risks and ensure equity among risks

Definition

The term **assessment of risks** refers to the process of evaluating each proposal for health insurance in terms of the degree of risk it represents and then deciding whether or not to grant insurance and on what terms.

Anti-selection (or **adverse selection**) is the tendency of people, who suspect or know that their chance of experiencing a loss is high, to seek out insurance eagerly and to gain in the process.

Example

If insurers were not selective about whom and how they offered insurance, there is a chance that people with serious ailments like diabetes, high BP, heart problems or cancer, who knew that they would soon require hospitalization, would seek to buy health insurance, create losses for the insurer. In other words, if an insurer does not assess risk properly, it would be selected against and suffer losses in the process.

2. Equity among risks

Let us now consider equity among risks. "Equity" means that applicants who are exposed to similar types and degrees of risk be placed in the same premium class. Insurers would like to have some type of standardization to determine the premiums to be charged. The proposals that come to the underwriter are classified into following risk types:

i. Standard risks

These are the people whose expected morbidity (chance of falling ill) is average.

ii. Preferred risks

In some cases, the expected morbidity is significantly lower than average and hence are preferred risks. These could be charged a lower premium.

iii. Substandard risks

In some other cases, the expected morbidity may be higher than the average. Though these risks also may be insurable, insurers may charge higher premiums and/or accept them subject to certain conditions and restrictions.

iv. Declined risks

There are some persons who have certain medical or other conditions, which make them highly prone to sicknesses and making claims. It is highly probable that such persons fall sick and cause a disproportionate degree of liability on the common pool. In other words, while others in the pool have a more or less average chance of falling sick, these persons have a very high chance of falling sick making it difficult to insure them even at higher rates of premium. [Sometimes, such persons may be posing a Moral Hazard when they do not reveal their high probability of falling sick and try to get insured like other normal people.] Most insurers decline such risks and create a database of such people for future use.

Being a 'Declined Risk' means only that a particular insurer does not wish to insure a person for that type of insurance product, at that particular point in time. However, it is possible that another insurer might insure him/ her at a different premium and/or with different conditions. The same insurer might also

consider him/ her for another type of policy or even for the same policy at a later date, when the conditions change.

3. Underwriting process

The underwriting process takes place at two levels:

- ✓ At the primary or field level or
- ✓ At the underwriting department level

a) Primary Underwriting

Primary underwriting (or Field level underwriting) includes information gathering by an agent or company representative to decide whether an applicant is suitable for granting insurance coverage. The agent plays this critical role of **primary underwriting**. He is in the best position to know whether prospective client is insurable.

Some insurance companies require the agents to provide a statement or a confidential report, with specific information, opinion and recommendations with respect to the proposer.

A similar kind of report, which has been called as **Moral Hazard report**, may also be sought from an official of the insurance company. These reports typically cover the occupation, income and financial standing and reputation of the person proposed for health insurance.

4. Fraud monitoring role of Agent

Decisions regarding selecting a risk for insurance depends on the facts disclosed by the proposer in the Proposal Form. It would be difficult for an underwriter sitting in the office to know whether these facts are true or have been fraudulently misrepresented with an intention to cheat the insurer.

The agent, **as primary underwriter** plays a significant role here. Since the agent has direct personal contact with the proposer, he or she is in the best position to find out whether the information submitted is true and whether any wilful non-disclosure or misrepresentation has been made.

a) Role of the Underwriting department

The Underwriting department in the insurer's office does the major part of the underwriting. Here, specialists who are proficient in such work, consider and analyse all the relevant data on the particular risk and even some demographical data. They finally decide whether to accept the proposal for insurance, decide the terms, and charge the appropriate premiums.

C. Other Health Insurance regulations of IRDAI

The regulator has also brought in some changes for benefit of the Insured as given below.

a. The insured is to be informed of any underwriting loading charged over and above the premium and the specific consent of the policyholder for such loadings shall be obtained before issuance of a policy.
b. If an insurance company requires any further information, such as change of occupation, at any subsequent stage of a policy or at the time of its renewal, it has prescribed standard forms to be filled up by the insured which forms part of the policy document.
c. Insurers have come out with various mechanisms to reward policyholders for early entry, continued renewals, favourable claims experience etc. with the same insurer and disclose upfront such mechanism or incentives in the prospectus and the policy document.

D. Portability of Health Insurance

Portability is defined by IRDAI as **the right** accorded to individual health insurance policyholders (including all members under family cover), **to transfer** the credit gained for pre-existing conditions and time bound exclusions, **from one insurer to another insurer or from one plan to another plan of the same insurer**, provided the previous policy has been maintained without any break.

Portability is the provision by which an Insured can move from one insurer to another carrying with him/ her all the benefits earned over a period of time. Students may please read IRDAI's Consolidated Guidelines on Product filing in Health Insurance Business dated 22 July 2020 lays down norms for standardising many of the practices including Portability.

IRDAI mandates that Portability shall be allowed under all individual indemnity health insurance policies issued by General Insurers and Health Insurers including family floater policies.

However, porting can be done only at the time of renewal. Apart from the waiting period credit, other terms of the new policy including the premium would be decided by the new insurance company. Procedurally, the request for porting should be made by the insured to the old insurer at least 45 days before the renewal, specifying the company to which the policy has to be ported. The policy has to be renewed without a break (there is a 30 day grace period if porting is under process). IRDA has created a web-based facility that maintains data about all health insurance policies issued by insurance companies to individuals, to enable the new insurer to access and obtain data on the porting policyholder's health insurance history in a smooth manner.

E. Migration of Health Insurance

Migration is defined by IRDAI as the right accorded to health insurance policyholders (including all members under family cover and members of group health insurance

policy), **to transfer** the credit gained for pre-existing conditions and time bound exclusions, **with the same insurer**.

IRDAI's Consolidated Guidelines on Product filing in Health Insurance Business dated 22 July 2020 revised the guidelines on Migration of health insurance policies. It provides that every individual policyholder (including members under family floater policy) covered under an indemnity based individual health insurance policy shall be provided an option of migration at the explicit option exercised by the policyholder. Migration from group policies to individual policy will be subject to underwriting.

A policyholder desirous of migrating his/ her policy shall be allowed to apply to the insurance company to migrate the policy along with all members of the family, if any, at least 30 days before the premium renewal date of his/her existing policy. However, if the insurer is willing to consider even less than 30 days period, then the insurer may do so. Insurers shall not levy any charges exclusively for migration.

F. Basic principles of insurance and tools for underwriting

1. Basic principles relevant to underwriting

In any form of insurance, whether it is life insurance or general insurance, there are certain legal principles which operate along with acceptance of risks. Health insurance is equally governed by these principles and any violation of the principles may result in the insurer deciding to avoid the liability. (These principles have been discussed in the common chapters.)

2. Tools for underwriting

These are the sources of information for the underwriter and the basis on which the risk classification is done and premiums finally decided. The following are the key tools for underwriting:

a) Proposal form

This document is the base of the contract where all the critical information pertaining to the health and personal details of the proposer (i.e. age, occupation, build, habits, health status, income, premium payment details etc.) are collected. Any breach or concealment of information by the insured shall render the policy void. (This has been discussed in the common chapters.)

b) Age proof

Premiums are determined on the basis of the age of the insured. Hence it is imperative that the age disclosed at the time of enrolment is verified through submission of an age proof.

Example

In India, there are many documents which can be considered as age proof but all of them are not legally acceptable. Mostly valid documents are divided into two broad categories. They are as follows:

a) Standard age proof: Some of these include school certificate, passport, domicile certificate, PAN card etc.
b) Non-standard age proof: Some of these include ration card, voter ID, elder's declaration, gram panchayat certificate etc.

Financial documents

Knowing the financial status of the proposer is particularly relevant for benefit products and to reduce the moral hazard. However, normally the financial documents are only asked for in cases of:

a) Personal accident covers or
b) High sum assured coverage or
c) When the stated income and occupation as compared to the coverage sought, show a mismatch.

c) Medical reports

Requirement of medical reports is based on the norms of the insurer, and usually depends upon the age of the insured and sometimes on the amount of cover opted. Some replies in the proposal form may also contain some information that leads to medical reports being asked for.

d) Reports of sales personnel

Sales personnel can also be seen as grassroots level underwriters for the company and the information given by them in their report could form an important consideration. However, as the sales personnel have an incentive to generate more business, there is a conflict of interest which has to be watched out for.

Test Yourself 2

The principle of utmost good faith in underwriting is required to be followed by _____.

I. The insurer
II. The insured
III. Both the insurer and the insured
IV. The medical examiners

Test Yourself 3

Insurable interest refers to _____.

I. Financial interest of the person in the asset to be insured
II. The asset which is already insured

III. Each insurer's share of loss when more than one company covers the same loss
IV. The amount of the loss that can be recovered from the insurer

G. Underwriting process

Once the required information is received, the underwriter decides the terms of the policy. The common forms used for underwriting health insurance business are as below:

1. Medical underwriting

Medical underwriting is a process in which medical reports are called for from the proposer to determine the health status of an individual applying for health insurance policy. The health information collected is then evaluated by the insurers to determine whether to offer coverage, up to what limit and on what conditions and exclusions. Thus medical underwriting can determine the acceptance or declining of a risk and also the terms of cover.

Example

Medical conditions like hypertension, overweight/ obesity and raised sugar levels have a high probability of future hospitalization for diseases of the heart, kidney and the nervous system. So, these conditions should be carefully considered while assessing the risk for medical underwriting.

Medical underwriting guidelines may also require a signed declaration of the proposer's health status by his/ her family physician.

Persons above the age of 45-50 years, enrolling for the first time are normally required to undergo specified pathological investigations to assess health risk profile and to obtain information on their current health status. Such investigations also provide an indication of prevalence of any pre-existing medical conditions or diseases.

2. Non-medical underwriting

Most of the proposers which apply for health insurance do not need medical examination.

Even, if the proposer were to disclose all material facts completely and truthfully and the same were checked by agent carefully, then also the need for medical examination could be much less.

Example

If an individual has to take health insurance coverage quickly without going through a long process of medical examinations, waiting periods and processing delays, then he can opt for a non-medical underwriting policy. In a non-medical underwriting

policy, premium rates and sum assured are usually decided on the basis of answers to a few health questions mostly based on age, gender, smoking class, build etc. The process is speedy but the premiums may be relatively higher.

3. Numerical rating method

This is a process adopted in underwriting, wherein numerical or percentage assessments are made on each component of the risk.
Factors like age, sex, race, occupation, residence, environment, build, habits, family and personal history are examined and scored numerically based on pre-determined criteria.

4. Underwriting decisions

The underwriting process is completed when the received information is carefully assessed and classified into appropriate risk categories. Based on the above tools and his judgment, the underwriter classifies the risk into the following categories:

a) Accept risk at standard rates
b) Accept risk at an extra premium (loading), though it may not be practiced in all companies
c) Postpone the cover for a stipulated period/ term
d) Decline the cover
e) Counter offer (either restrict or deny part of the cover)
f) Impose a higher deductible or Co-pay
g) Levy permanent exclusion(s)under the policy

If any illness is permanently excluded, it is endorsed on the policy certificate. This becomes an additional exclusion apart from the standard policy exclusion and shall form the part of the contract.

5. Use of general or standard exclusions

The majority of policies impose exclusions that apply to all their members. These are known as standard exclusions or sometimes referred to as general exclusions. Insurers limit their exposure by the implementation of standard exclusions. These have been discussed in an earlier chapter.

6. Zone wise premium

Normally, the premium would depend on the age of the insured person and the sum insured selected. Premium differential has been introduced in certain zones with higher claims cost e.g. Delhi and Mumbai form part of highest premium zone for certain products by some insurers. For e.g. Individual Policy for age group of 55-65 years would be rated higher in Metros and 'A Class' cities than a similar policy for the same age bracket in a city like Indore or Jammu.

Test Yourself 4

Which of the following statements about medical underwriting is incorrect?

I. It involves high cost in collecting and assessing medical reports.
II. Current health status and age are the key factors in medical underwriting for health insurance.
III. Proposers have to undergo medical and pathological investigations to assess their health risk profile.
IV. Percentage assessment is made on each component of the risk.

H. Health Insurance at Group Level

While accepting a group for health insurance, the insurers take into consideration the possibility of existence of a few members in the group who may have severe and frequent health problems.

1. Group Health Insurance

Underwriting of group health insurance requires analysing the characteristics of the group to evaluate whether it falls within the insurance company's underwriting guidelines as well as the guidelines laid down for group insurance by the insurance regulators.

Standard underwriting process for group health insurance requires evaluating the proposed group on the following factors:

a) Type of group
b) Group size
c) Type of industry
d) Eligible persons for coverage
e) Whether entire group is being covered or there is an option for members to opt out
f) Level of coverage – whether uniform for all or differently
g) Composition of the group in terms of sex, age, single or multiple locations, income levels of group members, employee turnover rate, whether premium paid entirely by the group holder or members are required to participate in premium payment
h) Difference in healthcare costs across regions in case of multiple locations spread in different geographical locations
i) Preference of the group holder for administration of the group insurance by a third party administrator (of his choice or one selected by the insurer) or by the insurer itself
j) Past claims experience of the proposed group

Example

A group of members working in mines or factories is at higher health risk than a group of members working in air-conditioned offices. Also the nature of diseases (thereby claims) are also likely to be quite different for both groups. Therefore, the insurer will price the group health insurance policy accordingly in both the cases.

Similarly to avoid adverse selection in case of groups with high turnover such as IT companies, insurers can introduce precautionary criteria requiring employees to serve their probationary period before becoming eligible for insurance.

2. Underwriting other than employer- employee groups

Employer-employee groups are traditionally the most common groups offered group health insurance, the character of the group composition is one of the important consideration while underwriting the group.

Health insurance can also be offered to Non Employer employee groups. The IRDAI has issued group insurance guidelines with a view to regulate the approach to be adopted by insurers in dealing with various groups. Such non-employer groups include:

a) Employer welfare associations
b) Holders of credit cards issued by a specific company
c) Customers of a particular business where insurance is offered as an add-on benefit
d) Borrowers of a bank and professional associations or societies

I. Underwriting of Overseas Travel Insurance

Since the main cover under Overseas Travel Insurance policies is the health cover, the underwriting would follow the pattern for health insurance in general.

The premium rating and acceptance would as per individual company guidelines but a few important considerations are given below:

1. Premium rate would depend on the age of the proposer and the duration of foreign travel.
2. As medical treatment is costly overseas, the premium rates are normally much higher compared to domestic health insurance policies.
3. Even among the foreign countries, USA and Canada premium is the highest.
4. Care should be taken to rule out the possibility of a Proposer using the policy to take medical treatment abroad and hence the existence of any pre-existing disease must be carefully considered at the proposal stage.

J. Underwriting of Personal Accident Insurance

The underwriting considerations for Personal Accident Policies are discussed below:

Rating

In personal accident insurance, the main factor considered is the occupation of the insured. The risks associated with profession or occupation varies in accordance with the nature of work performed. For example, an office manager is less exposed to risk at work than a civil engineer working at a site where a building is being constructed. To fix a rate, occupations are classified into groups, each group reflecting, more or less, similar risk exposure.

Classification of Risk

On the basis of occupation, the risks associated with the insured person may be classified into three groups:

- **Risk group I**
  Accountants, Doctors, Lawyers, Architects and persons engaged in administration functions, persons primarily engaged in occupations of similar hazards.
- **Risk group II**
  Builders, Contractors and Engineers engaged in superintending functions and persons engaged in occupation of similar hazards. All persons engaged in manual labour (except those falling under Group III),
- **Risk group III**
  Persons working in underground mines or engaged in activities like racing on wheels and persons engaged in occupations/ activities of similar hazard.
  Risk groups are also known in the form of 'Normal', 'Medium' and 'High' respectively.

Age Limits

General age limits for the working population (employer employee) is 18-70.However for students Minimum age could be 5 years too.
The minimum and maximum age for being covered and renewed varies from company to company.

Family Package Cover

The Personal accident policy also has a family package cover wherein Children and Non-earning spouse are covered for to death and permanent disablement (total or partial) only.

Premium Discount in Group Policies

A group discount is allowed off the premium, if the number of insured person exceeds a certain number say 100. Group policy however may be issued when number is smaller, say 25 but without any discount.

Group discount criteria

Group policies should be issued only in respect of the named groups. For the purpose of availing of group discount and other benefits, the proposed "Group" should fall clearly under one of the following categories, given below:

- Employer – employee relationship including dependents of the employee
- Members of a registered co-operative society
- Members of registered service clubs
- Holders of credit card of banks/ Diners/ Master/ Visa

In case of proposals relating to any further category different from the above categories, they may be deliberated and decided upon by the technical department of the respective insurers.

Premium

Varying rates of premium are applicable to named employees as per the classification of risks and the benefits selected.

On-duty cover

PA policies may have a cover for both on-duty and off-duty period or for either separately. The premium is dependent on the Sum Assured, the number of hours of duty etc. Some employers may like to restrict themselves to cover the duty period only.

Exclusion of death cover

It is possible to issue group P.A. policies excluding the death benefit, subject to individual company guidelines.

Group discount and Bonus/ Malus

Rating under renewal of group policies is determined with reference to the claims experience.

- Favourable experience is rewarded with a discount in the renewal premium (bonus)
- Adverse experience is penalised by loading of renewal premium (malus), according to a scale
- Normal rates will apply for renewal if the claims experience is, say, 70 percent

Test Yourself 5

1) In a group health insurance, any of the individual constituting the group could anti-select against the insurer.
2) Group health insurance provides coverage only to employer-employee groups.

I. Statement 1 is true and statement 2 is false
II. Statement 2 is true and statement 1 is false
III. Statement 1 and statement 2 are true
IV. Statement 1 and statement 2 are false

Answers to Test Yourself

Answer 1 - The correct option is III.
Answer 2 - The correct option is III.
Answer 3 - The correct option is I.
Answer 4 - The correct option is IV.
Answer 5 - The correct option is IV.